Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

AND

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

The Shared Services Panel

Case 19-G-0309
Case 19-G-0310

September 18, 2019

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I. Introduction

Q. Please identify the members of the Shared Services Panel.

A. The Shared Services Panel (the "Panel") consists of Arlene Gans, Jon Harrison, Paula Leaverton, Jeffrey Martin, and Lisa Tallet.

Q. Is this the same Panel that previously filed direct and corrections and updates testimony in these proceedings?

A. Yes. The terms defined in the Panel's direct and corrections and updates testimony have the same definitions here.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The Panel is responding to testimony from the Department of Public Service Staff ("Staff") Accounting Panel ("SAP") and Consumer Services Panel ("SCSP"), along with testimony from the Utility Intervention Unit ("UIU") witness Gregg C. Collar, New York City Low Income Panel ("NYCLIP"), and Public Utility Law Project ("PULP") witness William Yates.

The topics addressed in the Panel's rebuttal include: (i) the SAP's proposal regarding property tax expense; (ii) the SAP's proposal to modify uncollectible expense (iii) the SCSP, UIU, and PULP's proposals

to modify the Companies' proposed terminations and uncollectibles incentive metric; (iv) PULP and NYCLIP's proposals regarding the Companies' credit and collections process and NYCLIP's proposal regarding reconnect fees; (v) the SCSP and UIU's proposals to modify the Companies' service quality assurance program; (vi) PULP and NYCLIP's proposals regarding the Companies' low income programs; (vii) the SCSP's proposal regarding use of credit cards and debit cards; and (viii) the SCSP's proposals regarding annual outreach and education and electronic deferred payment agreements reporting.

The SCSP's testimony regarding the Customer Information System ("CIS") and Economic Development is addressed in the rebuttal testimony of the IT Panel and Future of Heat Panel, respectively.

Q. Does the Panel sponsor any exhibits?

A. Yes. The Panel sponsors the following exhibit that was prepared by the Panel or under its direction and supervision:

Exhibit __ (SSP-1R) – KEDNY and KEDLI Arrears Data

II. Forecast of Property Tax Expense

Q. Do you agree with the SAP's recommendation (at 35) to use growth rates of 3.12 percent and 4.60 percent for KEDLI and KEDNY, respectively, based upon three calendar years of data rather than the Companies' proposal to calculate growth rates based on two fiscal years of data?

A. No. The Companies do not believe the SAP's proposal to use growth rates based upon three calendar years of data is more predictive of property taxes during the Rate Year than the Companies' most recent two fiscal year growth rates of 3.78 percent and 5.04 percent for KEDLI and KEDNY, respectively. Although a three-year average provides more data points, it is not more predictive of Rate Year growth. For example, in Case 16-G-0059 the three-year average growth rate for KEDNY was -2.08 percent. As shown on Exhibit___(SAP-2), however, the actual three-year average growth rate for KEDNY from 2015 to 2018 was 4.60 percent. The Companies maintain that calculating the growth rate based upon the most recent information in the last two fiscal years is more reflective of where property tax expense is likely to go in the Rate Year.

Q. Why does the Panel believe the growth rate should be based on fiscal-year growth instead of calendar-year growth as proposed by the SAP (at 35)?

A. Using fiscal year property tax expense growth enables the Companies to use the most current data that aligns with the fiscal year forecast of the Rate Year and Data Years.

Q. Does the Panel agree with the SAP's assertion (at 36) that using fiscal-year expense growth results in the time period of January through March 2019 being included twice in the Rate Year forecast calculation?

A. No. The Rate Year forecast begins with the calendar year 2018 property tax expense as the base. The Companies then applied the 12-month growth rate, rather than a 15-month growth rate, to the calendar year 2018 base to cover the 15-month link period from January 2019 through March 2020. Using this methodology, the period January 2019 to March 2019 is not being escalated twice in the Companies' Rate Year forecast calculation, and, thus, there is no reason to exclude this period from the calculation of the growth rate.

Q. Does the Panel agree with the SAP's recommendation (at 38-39) to eliminate the property tax reconciliation mechanism for both KEDNY and KEDLI in a one-year case?

A. No. The SAP's proposal to eliminate the property tax reconciliation mechanism places an undue level of risk on the Companies and their customers. Because of the variability of property tax forecasts and the impact of factors outside of the Companies' control (*e.g.*, property tax rates, obsolescence rates, *et cetera*), a property tax reconciliation mechanism is in the best interest of both customers and the Companies, even for a one-year case. The SAP's position that a property tax deferral is inappropriate in a one-year case is also at odds with various other deferral mechanisms proposed by Staff in these proceedings (*e.g.*, paving expense, new hires, IT Service Company rent expense). For these reasons, the Companies' property tax reconciliation should be continued, as proposed by the Panel.

III. Uncollectible Accounts Expense

Q. The SAP proposes (at 6-9) a reduction of $0.621 million and $0.319 million for uncollectible expense for KEDNY and KEDLI, respectively. Do the Companies agree with the SAP's proposal?

A. No. The SAP's adjustments are based on their recommendation to calculate the three-year average ratio of uncollectible amount to total regulated revenues using a different three-year time period than used by the Companies. The Companies calculated the three-year average using data from calendar years 2016, 2017, and 2018. The SAP proposes (at 7) to use a three-year period ending in May 2019 to calculate the uncollectible ratio.

Q. Why does the SAP suggest using the data from June 2015 to May 2019 will be more accurate?

A. The SAP (at 7) asserts that using the three-year period ending May 2019 data will reflect the most recent known impact from implementation of new programs such as targeted outbound calling, email campaigns, and formation of a Residential Outbound Calling group, and thus provide a more accurate uncollectible rate to apply to revenues for the Rate Year.

Q. Do the Companies agree that use of data from the three-year period ending May 2019 will be more accurate?

A. No. Under their current rate plans, the Companies' rate years are based on calendar years (*i.e.*, running from January 1 to December 31). Going forward, the Companies' will begin to use rate years based on fiscal years (*i.e.*, running from April 1 to March 31 of the following year). For purposes of comparing historical performance on this and other metrics, however, the Companies believe using calendar years that align with the Companies' prior rate year (based on calendar years) is more appropriate for determining the three-year historic average uncollectible performance.

IV. Terminations and Uncollectibles Incentive Metric

Q. Does the SCSP propose modifications to the Companies' proposed positive incentive related to residential service terminations and uncollectible expense?

A. Yes. The SCSP recommends (at 40) modification of the methodology for setting targets for the residential terminations and uncollectible expense metrics, and (at 43) addition of a new metric for residential arrears. The SCSP also recommends (at 40) use of a three-year historical average with no outliers removed to calculate updated targets for residential terminations and uncollectible expense for the Companies.

Q. Please describe the SCSP's proposed targets for uncollectible expense and residential service terminations.

A. The SCSP (at 41) set the targets at one standard deviation from the three-year historical average for calendar years 2016, 2017, and 2018. For KEDNY, the SCSP rounded threshold targets would be 29,600 for residential service terminations and $11.6 million in uncollectible expense, and the rounded average targets would be 31,800 residential service terminations and $11.905 million in residential uncollectible expense. For KEDLI, the SCSP's rounded threshold targets would be 11,000 for residential service terminations and $4.4 million in residential uncollectible expense, and the rounded average targets would be 12,300 terminations and $4.921 million in residential uncollectible expense.

Q. Do you agree with the SCSP's reasoning for changing the methodology for calculating targets?

A. No. The SCSP asserts (at 40) that using the three-year historical average yields targets that are more relevant to the current operating environment. In addition, the SCSP asserts using the same time period for all metrics could help to standardize how historical performance is viewed. This is a reference to the fact that only four years of historical data are available for KEDLI post LIPA separation – and the SCSP's view that use of the same

time period for KEDNY and KEDLI would tend to standardize how performance is viewed. As discussed further below, uncollectible expense is largely driven by exogenous factors. The volatility of weather in the northeast United States and the volatility of energy commodity prices expresses itself over longer cycles than three years. A small data sample is less likely to properly consider such factors. Conversely, the Companies' proposed use of longer time frames, seven years of data for KEDNY and four years of data for KEDLI, tends to flatten the impact of external factors such as weather, downturns in economic conditions, and fuel supply prices. For these reasons, the Panel maintains that using the larger data sets proposed by the Companies provide a more appropriate basis for setting targets for the terminations and uncollectibles incentive.

Q. Please describe the SCSP's proposal for an additional metric for residential arrears under the terminations and uncollectibles incentive.

A. The SCSP (at 41-43) recommends implementation of an additional measure for the amount of dollars in residential arrearages. The SCSP references the monthly Collection Activity Reports ("CARs") filed in Case 91-M-0744 as a source for current reporting of both dollar amounts and the number of customers in arrears for each of the last five years for

both KEDNY and KEDLI. The SCSP (at 44) asserts that since the original terminations and uncollectibles incentive went into effect in 2017, terminations have decreased but arrearages and the number of customers in arrears have risen for both Companies. Thus, the SCSP proposes to add a target for arrearages to incent the Companies to balance the measures more effectively.

Q. Does the Panel agree with the inclusion of residential arrears as part of the terminations and uncollectibles incentive at this time?

A. No, the Panel does not. Arrears, the number of customers in arrears, and ultimately uncollectibles, are affected by a number of external factors. Examples of such external factors include weather, adverse weather events that impact collections activity, changes in economic conditions, customer behavior (*e.g.*, customers' awareness of limits on the Companies' ability to field treat customer accounts or simply avoiding the Companies' collection attempts, which can effectively put off service termination while allowing the customer to continue to accumulate unpaid bills), and supply price changes. The SCSP's proposal for an arrears metric fails to account for exogenous factors beyond the Companies' control, which could undercut any performance improvements or other actions by the Companies to manage terminations, uncollectible expense,

and arrearage. Without consideration of these external factors, the SCSP's proposal for a three-part performance incentive basically assumes that the external variables are held constant while the Companies manage performance under the metrics. In reality, the aforementioned exogenous factors can have a major impact on the metrics but are beyond the Companies' control and completely independent of efforts to manage customer arrears and uncollectible expense.

Q. Is the use of outstanding residential arrears reported on the CARs report (*i.e.*, 60-Day Arrears) an appropriate measure of collections performance?

A. No. Sixty-day arrears alone, viewed out of context with total accounts receivable ("A/R"), does not accurately indicate collections performance. Table 1, below, shows the twelve-month rolling average 60-day arrears and total A/R, and 60-day arrears as a percentage of total A/R. Arrears data are taken from the Companies' CARs reports and A/R data are provided in Exhibit __ (SSP-1R). To effectively track collections performance, the Companies consider arrearage not as an absolute number, but as a ratio or percentage of total A/R. This approach makes the measure less susceptible to external factors and more focused on how

the Companies are handling 60-day arrears relative to the overall A/R balance.

Table 1 – Terminations, Year-End 60-day Arrears v. Total A/R

KEDLI				
YEAR	Service Terminations	12 Month Average 60-Day Arrears	12 Month Average Total A/R	Ratio of 60-Day Arrears to Total A/R
2015	13,528	$32,751,847	$79,924,251	40.98%
2016	13,765	$24,025,799	$53,470,516	44.93%
2017	12,080	$23,259,156	$71,136,868	32.70%
2018	10,786	$25,195,545	$85,799,073	29.37%

KEDNY				
YEAR	Service Terminations	12 Month Average 60-Day Arrears	12 Month Average Total A/R	Ratio of 60-Day Arrears to Total A/R
2012	35,712	$56,521,696	$123,950,546	45.60%
2013	35,346	$56,547,225	$131,519,234	43.00%
2014	38,335	$58,209,223	$137,640,712	42.29%
2015	21,025	$63,116,186	$135,458,375	46.59%
2016	34,564	$55,046,379	$120,351,860	45.74%
2017	31,563	$56,703,720	$128,941,015	43.98%
2018	29,157	$59,976,064	$140,445,100	42.70%

As shown in Table 1 above, as total A/R increase (*e.g.*, in response to higher bills resulting from severe weather), 60-day arrears increase as well. Further, in years where terminations are lower, arrears tend to increase, and conversely, in years when terminations are higher, arrears

tend to decrease. Because it reduces the impact of external factors reflected in total A/R, the Companies believe the ratio of the average 60 day arrears to total A/R is a more appropriate and stable gauge of collection performance than just the 60-day arrears.

Notwithstanding, as the data suggest, the relationship among customer terminations, uncollectible expense, and arrears is complex and subject to external forces beyond the Companies' control. The revised metrics proposed by the SCSP unrealistically attempt to limit the Companies' collections activities without accounting for the fact that terminations are inversely correlated with arrears. Although the Companies have demonstrated that they can manage reductions in two of the three areas, they cannot realistically push down performance on all three metrics at once, and thus, the Panel believes the Commission should reject the SCSP's proposal to implement an arrearage metric.

Q. Does the SCSP's proposed incentive result in undue focus on one metric over the others?

A. Yes. The SCSP's proposal (at 46-47) inexplicably weights terminations over uncollectible expense and the new measure for arrearage. For example, the SCSP's Exhibit __ (SCSP-3) states (at 2) for KEDNY that a

partial incentive can be obtained "if the terminations measure is at or below the threshold target and the other two measures are at or below the average target." Thus, neither a full incentive nor partial incentive may be earned unless terminations are below threshold. By over-weighting terminations, the SCSP's proposal seems to contradict the statement that the incentive is intended to promote balanced collections performance, not just a reduction in terminations. Moreover, because data indicate that terminations are inversely correlated with total A/R and arrearage, it is unreasonable to expect the Companies to achieve targets in all three simultaneously.

Q. Are there limitations on the Companies' ability to reduce residential terminations, uncollectible expense, and residential arrears simultaneously, as the SCSP proposes?

A. Yes. If, for example, the Companies were to modify the current behavioral scoring mechanism and portfolio management package to prioritize accounts with high arrearages, it would take emphasis away from accounts with lower balances that are more likely to become uncollectible expense. This would lead to an increase in uncollectible bills in favor of a decrease in average arrears. Given that the Companies already seek to actively manage collections, go above and beyond Home

Energy Fair Practices Act ("HEFPA") requirements to notify customers of unpaid bills, offer budgeting tools, and negotiate collection arrangement and deferred payment agreement ("DPA") terms that consider customers' ability to pay, the Companies have no other practical means to reduce uncollectible expense at the same time as arrearages, except to increase service terminations.

Q. Could the SCSP's proposal for a revised terminations and uncollectibles incentive and a new arrearage metric be modified to provide a more appropriate measure of arrears and targets that do not place undue focus on terminations?

A. Yes. As explained above, to limit the influence of external factors on the absolute amount of 60-day arrears, arrearage is more appropriately measured by using the ratio of 60-day arrears to total A/R. Further, to address the undue focus on terminations in the SCSP's proposal, the Companies believe a more balanced incentive could be created where: (i) a full incentive would be achieved if the Companies meet threshold targets for any two of the three targets, with the third metric at or below the average target; or (ii) a partial incentive could be achieved if the Companies meet the threshold target for one metric, while achieving at or below average targets on the remaining two metrics. If the Commission

were to adopt a terminations and uncollectible incentive that includes an arrearage metric, the Companies' proposed alternative would create an incentive that would be stretching but attainable, while balancing the focus across all three metrics, which more aptly fits the SCSP's stated purpose for the incentive.

Q. Did any other party provide testimony on the Companies' proposed positive incentive to reduce residential service terminations and uncollectible expense?

A. Yes. UIU witness Collar recommends (at 15) safeguards if such a metric is continued to include targets aggressive enough to ensure the Companies achieve true stretch goals. PULP witness Yates (at 35-36) recommends (i) the mechanism be modified to include an arrears component; (ii) updates to establish so-called "stretch" or "reach" targets for the metrics; and (iii) imposition of added negative revenue adjustments ("NRAs") for terminations and uncollectibles.

Q. Does the Panel agree with Mr. Collar's recommendations to modify targets for terminations and uncollectibles?

A. As discussed above, the Panel believes its proposed targets present appropriate and aggressive stretch goals. For KEDNY, Mr. Collar (at 17)

proposes to set targets using the same methodology he recommends for calculating service quality standards, a five-year average with two standard deviations applied. For KEDLI, due to limitations in available data, Mr. Collar (at 18) proposes to set targets using a four-year average and two standard deviations. However, given the impact of external factors on total A/R, 60-day arrears, and uncollectible expense, the Companies believe that a more appropriate threshold target could be based on a single standard deviation from the historical average. Use of two standard deviations, as suggested by Mr. Collar (at 18), results in targets that are not achievable and thus, not manageable within the Companies' credit and collections processes. The Companies support the SCSP's proposal to use one standard deviation from the agreed upon averages as a more reasonable and appropriate way to set targets for this incentive.

Q. Does the Panel agree with Mr. Yates' recommendation to modify targets for terminations and uncollectibles?

A. No. Mr. Yates (at 36) proposes to set targets using the most recent seven-year average of terminations for the twelve months ending June 30. Mr. Yates proposes to normalize the data by removing the lowest and highest years from the averages. For KEDLI, use of seven years of data does not properly account for substantive changes in terminations in the years

following the LIPA separation. The LIPA separation had a pronounced effect on KEDLI's termination rates, as KEDLI was formerly able to rely upon electric terminations to avoid gas terminations for combined gas/electric customers. With the separation of the electric service in 2014, KEDLI could no longer rely primarily on electric terminations to cause customers to pay their gas bills. Mr. Yates' proposed use of pre LIPA-separation termination data is not representative of the number of service terminations for KEDLI's current operations and should be excluded from the calculation, as was done by the SCSP, KEDLI, and UIU. As discussed above, the Panel believes its proposed targets, based on four-years of data obtained post LIPA-separation, present appropriate and aggressive stretch goals. Given there are sufficient data currently available to calculate representative targets, the Companies also do not believe that Mr. Yates' proposal (at 36) for further updates of these calculations following the issuance of a final order approving rates in these proceedings is warranted.

Q. Does the Panel agree with Mr. Yates' recommendation to modify targets for terminations and uncollectibles using two standard deviations from the historical average?

A. No. Mr. Yates (at 36) recommends using two standard deviations from the average to set targets. Without substantive support, Mr. Yates suggests (at 36) that use of two standards deviations would carry a 95 percent confidence level that results would therefore "most likely be due to utility actions." As discussed previously, arrears and uncollectible expense are driven by many factors, including external factors beyond the Companies' control. Setting the incentive targets at two standard deviations would establish targets that are not reasonably achievable by the Companies. As stated above, the Companies support the SCSP's proposal to use one standard deviation from the agreed upon averages as a more reasonable and appropriate way to set targets for this incentive.

Q. Do the Companies agree with that Mr. Yates' proposal that NRAs be imposed to provide a disincentive to high rates of residential service terminations?

A. The Panel does not believe Mr. Yates' proposal (at 36) for NRAs is a necessary or appropriate mechanism to reduce service terminations or uncollectible expense. Residential service terminations are a last resort in

the collections process. Customers already receive outbound calls, reminder notices, deferred payment agreement offerings, and collect-only field visits before terminations are pursued. The Companies do not believe that an NRA is warranted or has been justified by Mr. Yates.

Q. Has the Commission approved positive-only incentives for uncollectible expense and residential service terminations for other utilities in the State?

A. Yes. The Commission has approved positive-only revenue adjustments for uncollectible expense and residential service terminations for Central Hudson Gas & Electric, Consolidated Edison, Orange & Rockland Utilities, New York State Electric & Gas, Rochester Gas & Electric, KEDNY, and KEDLI.[1] The Companies maintain that similar positive-

[1] *See*, Cases 17-E-0459 & 17-G-0460, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of the Central Hudson Gas & Electric Corporation for Electric and Gas Service*, Order Approving Rate Plan (June 14, 2018); Cases16-E-0060, 16-G-0061, et al., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric & Gas Service.* Order Approving Electric and Gas Rate Plans (January 25, 2017); Cases 15-E-0283, 15-E-0284, et al., *Motion of the Commission as to the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corp. for Electric Service, et al.*, Joint Proposal (February 19, 2016); Cases 15-E-0285, 15-E-0286, et al., *Motion of the Commission as to the Rates, Charges, Rules and Regulations of Rochester Gas & Electric Corp. for Electric Service, et al.*, Joint Proposal (February 19, 2016); Cases 14-E-0493 and 14-G-0494, *Order Adopting Terms of Joint Proposal and Establishing Electric Rate Plan, et al.* (October 16, 2015); Case 16-G-0058, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service, et al.* (December 16, 2016); and Case 16-G-0059, *Proceeding on Motion of the Commission as to the*

only revenue adjustments should be adopted for KEDNY and KEDLI, and that the Commission should reject Mr. Yates' proposal for NRAs.

V. Credit and Collections Process and Reconnect Fees

Q. Mr. Yates alleges (at 46) that the Companies' collection procedures do not ensure customers having difficulty paying their bills are offered DPAs meeting the statutory requirements of HEFPA. Does the Panel agree?

A. No. The Companies' practices regarding DPAs are fully compliant with the New York Public Service Law and HEFPA regulations. As acknowledged by Mr. Yates, the Companies offer customers several forms of payment arrangements to make affordable payments and provide additional time to pay down arrears and avoid termination of service. These include short term collection arrangements, offers of a standard payment agreement, and ultimately, the offer of a written minimum DPA to eligible customers. HEFPA requires utilities "to make reasonable efforts to contact eligible customers" for the purpose of: (i) offering a deferred payment agreement; and (ii) negotiating terms tailored to the

(..continued)
Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service, et al. (December 16, 2016); and Case 16-G-0369, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Corning Natural Gas Corporation for Gas Service*, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plan (June 15, 2017).

customer's financial circumstances.[2] Collectively, the Companies' outbound calling campaigns, bill notices, and final termination notices, coupled with offers of payment arrangements and written DPAs, comply with the Companies' obligation under HEFPA.

Q. Mr. Yates alleges (at 50-52) that KEDNY's offer of a standard payment agreement automatically upon issuance of the final termination notice to an eligible customer in arrears is unreasonable and does not comply with HEFPA. Does the Panel agree?

A. No. Mr. Yates' assertion is incorrect. KEDNY's practice of mailing a written standard payment agreement to every eligible customer along with the first disconnect notice is compliant with HEFPA. HEFPA requires KEDNY to offer *either* a negotiated DPA tailored to the customer's financial circumstances, *or* a payment agreement with a "down payment up to 15 percent of the amount covered by the payment agreement or the cost of one half of one month's average usage, whichever is greater; unless such amount is less than the cost of one half of one month's average usage, in which case the down payment may be up to 50 percent

[2] HEFPA § 11.10(a)(1).

of such amount."[3] In accordance with this requirement, KEDNY's customer service system automatically calculates the terms of the mailed standard agreement using the method prescribed in HEFPA and sends eligible customers a HEFPA-compliant written DPA.

Q. Does the Panel agree with Mr. Yates' assertion that KEDNY's collection procedures do not ensure customers are offered affordable DPAs meeting the statutory requirements of HEFPA?

A. No. As discussed above, KEDNY's practices comply with regulatory and statutory requirements of HEFPA. Mr. Yates' assertion (at 49) that KEDNY's requirements for customers to complete DPAs unnecessarily impede access to affordable DPAs are unfounded. KEDNY customers can submit a standard DPA via mail, or they can utilize any of the Company's multiple walk-in customer offices to provide the necessary documentation to support their need for more affordable DPA terms or to renegotiate the terms of existing DPAs. As Mr. Yates expressly

[3] *See*, HEFPA § 11.10 (c) (2) stating, "[a] payment agreement shall either contain: (i) the specific terms for payment of the amount covered by the agreement mutually agreed upon by the utility and the customer or applicant after negotiation pursuant to paragraph (a)(1) of this section; or (ii) a down payment up to 15 percent of the amount covered by the payment agreement or the cost of one half of one month's average usage, whichever is greater; unless such amount is less than the cost of one half of one month's average usage, in which case the down payment may be up to 50 percent of such amount; and monthly installments up to the cost of one half of one month's average usage or one tenth of the balance, whichever is greater."

acknowledges (at 61), "HEFPA does not mandate a particular manner in which evidence of a customer's individual circumstances shall be accepted." KEDNY's existing process has been in effect since the advent of HEFPA and could not be changed without extensive changes to billing systems and processes. Such changes are not warranted, particularly with the implementation of E-DPA, which will soon make available electronic DPAs to KEDNY customers, as an additional means to enter into a DPA suited to the customer's needs.

Q. Does the Panel agree with Mr. Yates' recommendation that KEDNY abandon its existing process for handling financial statement forms and negotiating DPAs?

A. No. KEDNY's current processes comply with HEFPA requirements, and no modifications to the current process are required. Notwithstanding, the Companies are planning to implement electronic DPAs, which will provide an additional avenue for customers to work with the Companies to enter DPA terms suitable to individual customer needs.

Q. Does the Panel agree with Mr. Yates' further recommendations regarding making detailed billing data available to customers, or developing enhanced bills, and tracking mechanisms for public assistance status?

A. No. Mr. Yates suggests (at 72) that at least six years of detailed billing data should be made available to residential customers as soon as they enroll in e-Billing. Further, Mr. Yates asserts (at 72) that customers who receive a utility guarantee/direct voucher and have "abeyance" amounts that date back more than six years, also receive online data extending back at least three months prior to the start of the abeyance or beginning of the direct voucher benefit. Similarly, Mr. Yates suggests (at 72) the development of an application that tracks the public assistance status of customers and reports such status to customers in "real-time" through the "e-Billing portal." The Companies, however, do not have an e-Billing portal like that proposed by Mr. Yates. To implement Mr. Yates' proposals, the Companies would have to modify the legacy billing systems, data storage systems, and operating procedures in multiple ways, including increasing the amount of customer data stored and available in the current billing systems. Even if it were feasible to expand the legacy billing system storage capacities as Mr. Yates suggests, the costs would

prohibitive, and there is no evidence such capabilities would provide a meaningful benefit to customers or the customer experience.

Q. Does Mr. Yates have other suggestions regarding providing data and outreach to public assistance customers?

A. Yes. Mr. Yates suggests (at 72) that the Companies provide public assistance customers "complete detailed reconciliations of all transactions between HRA/DSS and KEDNY/KEDLI pertaining to their One-Shot grants, [utility guarantee]/[direct voucher] assistance and HEAP grants, and abeyances.'" Tracking, accounting, and reporting on the benefits associated with such programs should be the responsibility of the agency providing the benefits (*e.g.*, New York City's Human Resources Agency "HRA"), not the Companies. Mr. Yates also suggests (at 72-73) that the Companies should conduct additional telephone outreach at least annually to review assistance status with customers, including abeyance amounts; provide notice to customers when assistance benefits will end; compile summaries of discussions between customers and the Companies regarding such benefits; and conduct a campaign to secure customer acknowledgment of their agreement with these summaries. As with Mr. Yates' proposed detailed reconciliation and summaries of benefits, the Companies believe that outreach to review assistance and benefits with

customers, whether by telephone or otherwise, should be the responsibility of government agencies providing the benefits, not the Companies. The Companies already provide customers with bills showing balances prior to customers becoming a utility guarantee/direct voucher recipient. These bills would already show the prior arrears, and thus abeyance amounts Mr. Yates is suggesting be provided to customers.

Q. Does the Panel agree with Mr. Yates' recommendation (at 73) to grant automatically 30-day extensions and suspension of all collections for customers no longer on utility guarantee/direct voucher programs or 90-day extensions to customers with reconciling transactions involving HRA and/or the Department of Social Services ("DSS")?

A. No. Mr. Yates' proposal (at 73) to suspend all collections actions against such customers is not required by HEFPA or the Companies' procedures governing credit and collections. To the extent customers face administrative issues as Mr. Yates suggests, such as whether or not an agency has paid a bill, provided notice to the customer, or whether a customer continues to be eligible for direct voucher benefits, these are matters for discussion between the customer and the agency. The possibility of such discussions and related notifications to the Companies

regarding such interactions do not merit automatic suspensions of up to 90 days as suggested by Mr. Yates (at 72). Granting such a request could create additional confusion among customers regarding when payments are due, result in delayed or missed payments to utilities and drive up customer arrears, without any specific benefit for affected customers. In light of the fact that the Companies already work with customers to reach terms for an affordable DPA in accordance with HEFPA, there is no reason to grant additional automatic suspensions for such customers, and Mr. Yates' proposals in this regard should be dismissed by the Commission.

Q. Please describe Mr. Yates' recommendation (at 76) for solving what he characterizes as the problem of customers who meet the criteria for special protections under HEFPA because they are elderly, blind, or disabled ("EBD") and/or have medical emergencies but have not had their accounts coded as such.

A. Mr. Yates recommends (at 76) that, in connection with the Companies' plans to upgrade their CSS and CRIS systems, a secure web-based portal be created in lieu of existing processes to track applications for customers seeking to be coded for EBD and/or medical emergency status. Mr. Yates suggests (at 76) that the secure portal be designed to manage the ongoing

status of certification and re-certification for EBD and/or medical emergency customers, and further, that the portal be available to customers, their authorized representatives, healthcare providers, and Staff. Further, Mr. Yates' recommends (at 76) that automatic extensions and suspension of credit and collections activity be afforded to customers seeking EBD and/or medical emergency coding – and that such suspension be granted automatically before the customer has been qualified as eligible for any sort of protection.

Q. Does the Panel agree with the development of a secure web portal and the automatic suspension of all credit and collections activity for customers seeking EBD and/or medical emergency coding?

A. No. Mr. Yates has not made an adequate demonstration to justify the need to replace the Companies' current process for coding EBD and/or medical emergency customers with a secure web portal. Although a secure web portal could enhance the Companies' capabilities, such a system with the broad access contemplated by Mr. Yates (*e.g.*, extending to the customers' representatives, healthcare providers, and government agencies) would also proportionally increase the Companies' risk associated with a breach of customer personally identifying information ("PII"). The cost of such a system, particularly one with sufficient

safeguards to protect sensitive PII associated with a customer's medical and income status, would be substantial. Granting Mr. Yates request (at 76-77) for automatic extensions and suspension of credit and collections activity to a customer seeking EBD and/or medical emergency coding before meeting HEFPA requirements for such coding, would be premature and inconsistent with the plain language of HEFPA. If a customer does not meet the requirements for EBD or medical emergency coding in Sections 11.5 (b)(1) and 11.5 (a) of HEFPA, respectively, the account should not be coded or treated as such. Extending such status to accounts that have not been qualified would be inconsistent with HEFPA. Further, granting such suspensions could create confusion among customers regarding when payments are due, result in delayed or missed payments to utilities, and drive up customer arrears, without any specific benefit for affected customers, particularly when such customers might never qualify for protection. At this time, the Companies do not believe that the potential risks associated with implementing such a system outweigh the costs or resources required.

Q. Mr. Yates cites a number of past complaints in his testimony. Does the Panel believe these complaints justify Mr. Yates' various

proposals to make additional customer data available and to modify the billing systems and credit and collections processes?

A. No. In support of his proposals, Mr. Yates refers to a number of complaints (at 52-57). These complaints, however, are unique to each customer circumstance and do not demonstrate that fulfilling Mr. Yates recommendations would provide any meaningful value to customers or the customer experience outside of a very limited number of cases that become Commission complaints each year. In most cases, the data requested by Mr. Yates would generally be redundant to the original billing information provided to the customer or would involve data that originates from a third party, such as HRA. The Panel does not believe these complaints justify requiring the Companies to provide additional data or system enhancements, because there is already sufficient data available to work with customers and Staff to resolve cases that do arise.

Q. Does the Panel agree with NYCLIP's recommendation (at 33) for KEDNY to eliminate reconnection fees altogether for low income customers?

A. No. NYCLIP (at 33) proposes that KEDNY eliminate reconnection fees altogether for low income customers because it will provide them with a better opportunity to remain utility customers and pay their utility bills.

NYCLIP suggests that reconnect fees create a further financial barrier for customers who have already demonstrated an inability to pay utility bills. NYCLIP acknowledges (at 33) that KEDNY already provides a one-time waiver of the reconnection fee, but then suggests that customers with an inability to pay utility bills and multiple service terminations should be reconnected without a fee. By NYCLIP's admission (at 33), such customers may be unable to pay utility bills. If so, provision of additional utility service would only serve to increase arrears and uncollectible expense, which burdens all customers. NYCLIP also suggests (at 35) that having KEDNY eliminate reconnect fees would harmonize KEDNY's practices with those already adopted by KEDLI and avoid the possibility that customers in similar areas be subject to different rules on reconnection fees. KEDNY and KEDLI, however, are separate and distinct companies, with separate tariffs and pricing structures, and, like other utilities within New York, there is no requirement that KEDNY and KEDLI have identical fees and terms for service. For these reasons, KEDNY does not support eliminating the reconnection fees as NYCLIP suggests.

Q. Please describe NYCLIP's recommendation to increase the frequency of the HRA file match and corresponding increase in the reimbursement cap?

A. NYCLIP recommends (at 36-37) that HRA increase the file match frequency from twice a year to four times a year (*i.e.*, quarterly). In support of its proposal, NYCLIP suggests (at 37) that increasing the frequency of file matching will ensure customers who are newly qualified are properly qualified and receive the utility low income discount sooner. As part of its proposal to increase the frequency of file matches, NYCLIP recommends (at 38) that the annual reimbursement cap be increased from $100,000 to $200,000.

Q. Does the Panel agree with NYCLIP's recommendation to double the frequency of file matches and increase the reimbursement cap?

A. No. As NYCLIP acknowledges (at 37), more frequent matches would not necessarily equate to an increase in participation levels. Indeed, the Panel believes the frequency of file matching will have little, if any, impact on the total number of customers enrolled, because each file match has the potential to remove customers as well as add them. Said differently, changing the frequency of file matches is just as likely to increase the frequency of customers being removed as it is to increase the frequency of

customers being added. Thus, increasing the frequency of file matches would only serve to increase the administrative costs of the HRA file matching process, without providing any discernible benefits for customers. For this reason, the Panel does not support NYCLIP's proposal to double the file matching frequency or to increase the cap on reimbursement.

VI. Customer Service Quality

Q. Are service quality measures and negative revenue adjustments appropriate or necessary in the context of a one-year rate case?

A. No. KEDNY and KEDLI have met or exceeded their respective service quality targets since 2015, with KEDNY consistently meeting all of its metrics since 2008. As the Companies have demonstrated good performance in meeting the service quality metrics over the years, there is no basis to include metrics in a one-year litigated rate case. This is consistent with the Commission's order in Case 16-G-0257, which established rates for National Fuel Gas in a one-year case with no service quality metrics. The consistently high level of performance delivered over multiple, consecutive years should provide the Commission with sufficient comfort that service will not be diminished in a one-year rate

plan. For these reasons, the Companies do not believe that customer service quality program metrics are warranted.

Q. Did any of the parties recommend changes to the Companies' current Service Quality Assurance ("SQA") metrics or targets?

A. Yes. The SCSP (at 9) recommends modifications to the targets of the PSC Complaint Rate, Residential Customer Transaction Satisfaction, Percentage of Calls Answered within 30 Seconds, and Percentage of Adjusted Customer Bills to make the targets more challenging. The SCSP's specific modifications are provided in Exhibit___(SCSP-2). Mr. Collar (at 10) also recommends modifications to the targets for KEDNY's PSC Complaint Rate and Residential Customer Transaction Satisfaction, KEDNY and KEDLI's Adjusted Customer Bills metrics, and KEDLI's Telephone Answer Rate.

Q. Please describe how the SCSP's proposes to establish new targets for the Companies' current SQA Program.

A. The SCSP asserts (at 27) that its proposed modifications are intended to better reflect the Companies' current operating environment and continue to provide a financial incentive to maintain satisfactory customer service. The SCSP notes (at 27) that the Commission has generally assumed that

the historical average represents a satisfactory level of service and that negative revenue adjustments are required if service degrades to a level two standard deviations from the utility's average performance. With the exception of KEDNY's call answered metric, the SCSP suggests (at 27) that the measures be set using a three-year historic average for all of the metrics except for the PSC Complaint Rate, which, as explained below, the SCSP recommends be set at 1.0 for both Companies.

Q. How did the SCSP determine its proposed revised targets for the PSC Complaint Rate Metric?

A. The SCSP recommends (at 33) changing the minimum target for PSC Complaints per 100,000 customers from 1.1 to 1.0 for both KEDNY and KEDLI. The SCSP also calculated what the complaint rate targets for KEDNY and KEDLI would be using the methodology described above. The SCSP recommends (at 33) not adopting targets based on this methodology, since the resulting complaint rates of 0.67 and 0.72 complaints per 100,000 customers for KEDNY and KEDLI, respectively, would be too stringent. The SCSP acknowledges (at 33) that the most stringent target currently in use at a New York utility is 1.0 per 100,000 customers, and thus, the SCSP recommends that the Commission adopt a target of 1.0 for both Companies.

Q. Does the Panel agree with the SCSP's recommendations for adjustments to the targets for the service quality metrics?

A. No. The SCSP does not allege, nor have they demonstrated, that it is necessary to make current performance measures stricter to provide customers with safe and adequate or satisfactory customer service. The Commission adopted the current performance targets three years ago in the 2016 KEDNY and KEDLI Rate Cases, and, other than the Companies' achievement of better than targeted performance, the SCSP has not identified any changed circumstances that provide a basis for finding the existing targets are somehow unreasonable or inadequate to assure satisfactory service.

Further, the SCSP's position creates a perverse incentive wherein it "rewards" the Companies for exceeding its established targets with even more aggressive targets. Compounding this inequity is that Staff is proposing more stringent targets but not providing the Companies with the necessary funding to meet these targets. Indeed, Staff is proposing a rate decrease for KEDLI with a minimal increase for KEDNY while at the same time increasing the service quality targets. The SCSP's proposal also fails to recognize the current environment wherein the Companies are unable to provide new gas service to customers, which inevitably will lead

to an increase in the number of complaints and decrease in overall satisfaction. The SCSP proposal is unreasonable and not supported by any evidence justifying the need to increase the targets that were only recently just set.

Q. Please summarize Mr. Collar's recommendations for adjustment of SQA targets.

A. Mr. Collar recommends (at 11-13) that KEDNY's PSC Complaint Rate targets be adjusted from 1.5 to 0.7 complaints per 100,000 customers; Residential Transaction Satisfaction index be adjusted from 84.8 percent to 86.4 percent; and Adjusted Customer Bills be adjusted from 1.69 percent to 0.62 percent, with rate intervals as shown in Exhibit __ (GCC-2). For KEDLI, Mr. Collar recommends (at 12-13) that the Calls Answered Rate be adjusted from 62.2 percent to 64.4 percent and that Adjusted Customer Bills be adjusted from 1.69 percent to 0.62 percent, with rate intervals as shown in Exhibit __ (GCC-2).

Q. Is it reasonable to require higher levels of performance if the Companies have been meeting or exceeding a particular target?

A. No. As discussed above, the Companies should not be penalized by the imposition of more stringent targets as a consequence of delivering

performance that meets or is above current minimum standards. The only justification offered by the SCSP or Mr. Collar to increase the targets is that the Companies have been meeting or exceeding the current performance targets. That does not provide a reasonable basis to modify the current performance targets. Although the Companies have been successful in achieving the targets in recent years, circumstances outside of the Companies' control can cause performance to decline in any given year, in spite of the Companies' best efforts.

Q. Does the Panel agree that ratcheting up SQA targets in response to meeting or exceeding existing performance levels is sound regulatory policy?

A. No. The SCSP acknowledges (at 29-30) that using the typical methodology to set targets for KEDNY's Calls Answered metric "would allow KEDNY's performance to drop below the current threshold" (*i.e.,* result in a less stringent target). Suggesting (at 30) that customer service should never be permitted to degrade, the SCSP recommends keeping the target at current levels, thus creating a "ratchet" where standards can only be increased and never be allowed to become less stringent. The Panel believes that ratcheting up performance measures solely based on past good performance is unreasonable and contrary to sound regulatory

policy. Creating a ratchet, whereby by good performance is rewarded with steadily increasing performance targets creates a disincentive to achieve performance levels that are anything above meeting existing targets. Furthermore, ratcheted performance measures will eventually reach a level that cannot be reasonably achieved or sustained with current budgets – leading to a need to increase rates to achieve continuously increasing performance levels. For these reasons, the Companies believe it is contrary to sound regulatory policy to make targets more stringent merely because a utility has consistently been meeting the existing target.

Q. Does the Panel agree with the recommended changes to the existing SQA targets by the SCSP and Mr. Collar?

A. As discussed above, the Companies do not believe that changes to existing SQA metrics or targets are necessary at this time. The SCSP and Mr. Collar have not demonstrated that it is necessary to make the targets stricter to provide customers with a higher quality of service. The Companies should not be penalized by the imposition of more stringent targets as a consequence of delivering performance that is above current standards. For these reasons, the Companies disagree with the proposal to modify the current SQA targets.

VII. Low Income Programs

Q. Do any of the parties have recommendations regarding the Companies' implementation of the Energy Affordability Program ("EAP") and the Commission's policies on low income programs?

A. Yes. NYCLIP has a number of recommendations (at 8-32) regarding the tiered bill discount amounts and file matching programs under the Companies' current EAP, along with suggested modifications to the Commission's policies on low income programs. Mr. Yates also has a number of recommendations (at 37-39) regarding implementation of the EAP.

Q. Is NYCLIP's suggestion that the Companies intend to keep tier discounts constant following January 1, 2019 correct?

A. No. NYCLIP (at 21) suggests that the Companies' are proposing to "maintain the same bill discounts that are in effect as of January 1, 2019," and that this would result in customers receiving "proportionally lower discounts then they receive now." This statement is incorrect. The Companies do not propose to maintain the discounts constant in future years. As noted in the Panel's direct testimony (at 71), the amounts provided reflect "current benefit amounts" for each tier. Current benefit amounts were used for purposes of forecasting only, not to establish actual

tier discounts for future years. Pursuant to the Commission's "Order Adopting Low Income Program Modifications and Directing Utility Filings," issued May 20, 2016 in Case 14-M-0565 (the "Low Income Order"), and subsequent "Order Approving Implementation Plans with Modifications," issued on February 17, 2017 (the "Implementation Order"), the Companies perform annual updates to the tiered discount amounts and will make necessary adjustments, on an annual basis, to ensure the discounts are set at levels necessary to keep the energy burden at or below six percent.

Q. Does NYCLIP propose changes to how median income is determined under the Commission's current low income program structure?

A. Yes. NYCLIP proposes (at 25) to modify how median incomes are determined for New York City customers. Under NYCLIP's proposal a different median income would be used for New York City residents than elsewhere in the State. This would deviate from methodology adopted by the Commission in the Low Income Order (at 22-24) and is contrary to the Commission's objectives to standardize low income programs and establish discounts and budgets on a statewide basis.

Q. Does NYCLIP propose changes to how low income discounts are calculated under the Commission's current low income program structure?

A. Yes. Based on NYCLIP's proposed changes to median income (at 22-24), and proposed adjustments to the Companies' average bills (at 25), NYCLIP presents (at 26) a new set of proposed tier discount levels for the Companies low income customers. NYCLIP's proposed discounts, however, are not consistent with the methodology adopted by the Commission in the Low Income Order and, by NYCLIP's own admission (at 27), would result in KEDNY exceeding two percent of operating revenues, which is the budget cap established by the Commission for such programs in the Low Income Order.

Q. Does NYCLIP propose an alternative approach for setting low income discount levels?

A. Yes. NYCLIP proposes (at 29) that, if the Commission does not adopt their proposal for increased discounts (*i.e.*, based on NYCLIP's modified median income and average bill amounts), "discounts for heating customers should be increased by $20 for all tiers." NYCLIP (at 29) does not provide any substantive basis for choosing $20, only that it would "significantly improve energy burden cost." As with NYCLIP's prior

proposals, the $20 proposal would be contrary to the standardized process for calculating discounts adopted by the Commission in the Low Income Order and should be dismissed by the Commission.

Q. Does the Panel have any other recommendations regarding NYCLIP's proposal to modify how EAP is implemented and how the discounts are calculated?

A. Yes. The Panel acknowledges that the Commission's affordability policy articulated in Low Income Order (at 7-9) provides for future refinement to certain program areas; however, Case 14-M-0565 is a generic case for all major electric and gas utilities. In the Low Income Order, the Commission states (at 4) that standardizing the programs "will lead to adoption of a consistent, more uniform approach to the design and implementation of these programs." This is further reinforced in the "Order Granting in Part and Denying in Part Requests for Reconsideration and Petitions for Rehearing," issued February 17, 2017 (the "Rehearing Order"), wherein the Commission states (at 16) that it seeks to standardize the programs, streamline the regulatory process and ensure consistency with the Commission's statutory and policy objectives. NYCLIP's approach would deviate from the Commissions' stated objectives of seeking standardization, consistency and uniformity among programs

statewide. The Commission also directs that potential areas for re-examination and refinements will be examined and addressed on a generic basis by the Inter-Agency Task Force established pursuant to the Low Income Order (at 9), which was established to "achieve greater program coordination, share information, eliminate duplicative efforts, lower costs and increase effectiveness, and advise in the development of low income energy-related policies and programs." For these reasons, the Panel believes the Commission should reject NYCLIP's low income proposals and continue its policy of a generic, statewide approach, which includes opportunities for refinements where applicable and in keeping with the ongoing affordability proceedings in Case 14-M-0465.

Q. Please describe Mr. Yates' proposal to expand on the Companies' proposed addition of a new one-half of a full time equivalent ("FTE") to support the EAP.

A. Mr. Yates suggests (at 39) that the Companies' proposal to add one-half of a FTE be expanded by another one-half FTE to one full FTE. Mr. Yates suggests (at 39) the additional one-half FTE resource could then be dedicated to increasing KEDLI participation rates in the EAP, and that an EAP enrollment increase for KEDLI would more than justify the added head count.

Q. Does the Panel support Mr. Yates' proposal to dedicate the additional one-half FTE resource to increasing KEDLI EAP participation?

A. No. Mr. Yates suggests (at 39) that the added one-half FTE be dedicated to increasing KEDLI participation rates. The Panel agrees that additional resources would be beneficial in supporting EAP implementation but does not believe the resource should be dedicated solely to increasing KEDLI EAP participation rates. Under Mr. Yates' proposal, three-quarters of an FTE would be dedicated to KEDLI and one-quarter to KEDNY. Given the respective scale of the KEDNY and KEDLI EAP programs the Companies believe a better approach would be to allow the Companies flexibility to utilize the resource in a more balanced manner that best supports EAP efforts across both KEDLI and KEDNY.

VIII. Credit Card and Debit Card Payments

Q. Please describe the SCSP's recommendations regarding credit/debit card fees.

A. The SCSP recommends (at 55) that the Commission allow the Companies to accept credit/debit cards from customers for bill payment, under the condition that the per-transaction fee does not exceed the current amount of $2.25, as described in the Companies' response to IR DPS-368, a copy of which is included in the SCSP's Exhibit __ (SCSP-1). Staff also

recommends (at 55) that the Commission impose a downward-only reconciliation.

Q. Does the Panel agree with SCSP's recommendation to limit the per transaction fee to $2.25 and the possibility that credit/debit cards be accepted for more than just residential customers?

A. No. The recommendation of the SCSP (at 55) could be read to suggest that all customers could use credit/debit cards. The Companies' proposal, however, was limited to "residential customers." Further, the SCSP's recommendation (at 55) that the per transaction fee not exceed $2.25, does not reflect key details from the Companies' proposal and the response to IR DPS-368. In the response to IR DPS-368, the Companies detailed how credit/debit card fees are currently charged by the Companies' third party vendors. This includes a two-tiered payment structure and a de facto limit on the total amount that can be charged in a single credit card transaction. The rates charged by the Companies' vendor are $2.25 for transactions from $0.00 to $600.00 and $4.50 for transactions between $600.01 and $1,200.00. Unlike these vendors, the Companies original proposal did not use a multi-tiered payment structure; rather, the proposed fees were estimated based on the number of customers anticipated to use credit/debit cards and the historic fees incurred when customers paid by credit card.

As the SCSP acknowledges (at 55), "the [SCSP] is concerned that the transaction fees, once socialized in base rates, will heavily increase, as is the case at other New York utilities." Given the possibility that larger fees could be incurred for high-dollar credit card payments, the SCSP's proposal to cap per transaction fees at $2.25 could result in significant under-recovery of costs under the no fee model. For that reason, the Companies do not agree that per transaction fees should be capped at the current fee for payments up to $600.00. Instead, the Companies should be permitted to socialize the total per transaction costs, even if these costs exceed $2.25. The Companies already have sufficient incentive to work with vendors and to increase transaction volumes and aggregate buying power to lower the per transaction costs.

Q. Do the Companies believe a downward-only reconciliation mechanism is appropriate for implementation of the no-fee model?

A. No. Considering the uncertainty associated with the credit/debit card transaction fees and SCSP's acknowledgment (at 55) that transaction fees, once socialized in base rates will heavily increase, the SCSP's proposal could create a situation where the Companies are forced to subsidize all customer credit/debit card fees above the initial forecast, and fees above the artificial limit of $2.25 per transaction proposed by the SCSP. The

SCSP provides no justification for a downward-only reconciliation mechanism other than incentivizing the Companies to push for lower transaction fees. As discussed above, the Companies already intend to work with vendors to leverage increases in transaction volumes to achieve lower transaction fees. A further consequence of the SCSP's proposal for a downward-only reconciliation mechanism would be to incentivize the utility to discourage and/or seek to limit credit card payments. Notwithstanding customer desire to proceed with credit card payments, under these conditions, with a downward-only reconciliation mechanism and an artificial cap on transaction fees, the Companies would not support moving forward with the proposal to socialize credit card fees.

IX. Outreach and Education Reports and Electronic Deferred Payment Agreements

Q. Please describe the SCSP's recommendations regarding the outreach and education reports.

A. The SCSP recommends (at 56) that the Companies conduct additional outreach and education to ensure customers are aware that higher gas usage will increase their monthly bill. The SCSP suggests this could be in the form of bill inserts, website updates and/or letters/postcards. The SCSP also recommends (at 57) that the Companies file their annual

outreach and education reports and plans with the Secretary in the docket for Case 17-M-0475, by April of each year.

Q. Does the Panel have any concerns with the SCSP's proposal (at 56) to require additional outreach and education for customers with higher gas usage?

A. Yes. Depending upon the nature of outreach required, conducting additional outreach and education campaigns such as letter campaigns and bill inserts can require additional postage and printing costs not contemplated in the Companies' original outreach and education plans. The Companies would not support the SCSP's proposal for additional outreach on the impact on customer bills of higher gas usage, unless the incremental costs of such campaigns were added to the Companies' current budgets for outreach and education.

Q. Does the Panel have any concerns with the SCSP's proposal (at 57) to require the annual outreach and education report be filed by April of each year?

A. Yes. Going forward, the Companies' fiscal years will close on March 31 of each year. This includes the budget year and plan for outreach and education. To provide the Companies sufficient time to address fiscal

year-end and to prepare the annual reports, the Companies believe the outreach and education report should not be due until at least 60 days following April 1 of each year.

Q. Please describe the SCSP's recommendations regarding reporting for electronic deferred payment agreements.

A. The SCSP recommends (at 52) detailed reporting in connection with the implementation of electronic DPAs. The Companies agree with the recommendation to provide detailed reporting for electronic DPAs using data points that correspond to information reported in standard collection activity reports. However, the SCSP recommendations (at 52) to go beyond existing data reported in the collection activity reports and to provide summaries of any customer inquiries and/or complaints received regarding electronic DPAs would be redundant to the existing Department of Public Service quick response system and formal complaint process for addressing customer inquiries and complaints and would be difficult to track and report. Moreover, following a brief introductory period for electronic DPAs, the reporting on customer inquiries and complaints regarding electronic DPAs would provide no discernible benefit beyond insights already obtained by the SCSP and the Commission via the normal complaint process and reporting. Although the Companies agree to

provide detailed reporting on electronic DPAs, these reports should not be required to include additional data on inquiries and complaints.

VIII. Conclusion

Q. Does this conclude your testimony?

A. Yes.

Rebuttal Testimony of The Shared Services Panel

INDEX OF EXHIBITS

Exhibit ___ (SSP-1R): Supporting Data for Terminations and Uncollectibles Metric

Exhibit ___ (SSP-1R)

Supporting Data for Terminations and Uncollectibles Metric

KEDLI 60+ Arrears / Total Residential AR			
Year	Ratio of 60 Day Arrears to A/R	12 Month Average 60-Day	12 Month Avg Total A/R
2015	40.98%	$ 32,751,847	$ 79,924,251
2016	44.93%	$ 24,025,799	$ 53,470,516
2017	32.70%	$ 23,259,156	$ 71,136,868
2018	29.37%	$ 25,195,545	$ 85,799,073
4 Year Average	**36.99%**	**$ 26,308,087**	**$ 72,582,677**
standard deviation	6.24%		
Target (Avg - one std dev)	**30.76%**		

KEDNY 60+ Arrears / Total Residential AR			
Year	Ratio of 60 Day Arrears to A/R	12 Month Average 60-Day Arrears	12 Month Avg Total A/R
2012	45.60%	$ 56,521,696	$ 123,950,546
2013	43.00%	$ 56,547,225	$ 131,519,234
2014	42.29%	$ 58,209,223	$ 137,640,712
2015	46.59%	$ 63,116,186	$ 135,458,375
2016	45.74%	$ 55,046,379	$ 120,351,860
2017	43.98%	$ 56,703,720	$ 128,941,015
2018	42.70%	$ 59,976,064	$ 140,445,100
5 Year Normalized Avg*	**44.20%**	**$ 57,291,416**	**$ 130,265,847**
standard deviation	1.27%		
Target (Avg - one std dev)	**42.93%**		
*Shaded Years are excluded			

KEDLI - Arrears Data - 48 months				
Month	Year	60+	Total	Ratio
Jan-15	2015	$ 27,061,870	$ 85,702,929	31.58%
Feb-15	2015	$ 28,601,476	$ 117,716,926	24.30%
Mar-15	2015	$ 31,998,956	$ 137,048,139	23.35%
Apr-15	2015	$ 35,060,759	$ 132,847,944	26.39%
May-15	2015	$ 44,083,471	$ 113,077,171	38.99%
Jun-15	2015	$ 45,372,690	$ 92,406,360	49.10%
Jul-15	2015	$ 39,495,441	$ 72,836,813	54.22%
Aug-15	2015	$ 34,289,836	$ 55,460,786	61.83%
Sep-15	2015	$ 30,334,936	$ 43,469,271	69.78%
Oct-15	2015	$ 27,138,900	$ 32,057,609	84.66%
Nov-15	2015	$ 25,423,293	$ 32,631,889	77.91%
Dec-15	2015	$ 24,160,540	$ 43,835,176	55.12%
Jan-16	2016	$ 22,934,274	$ 63,574,335	36.07%
Feb-16	2016	$ 23,324,714	$ 78,993,700	29.53%
Mar-16	2016	$ 24,593,790	$ 79,947,293	30.76%
Apr-16	2016	$ 26,095,000	$ 82,319,182	31.70%
May-16	2016	$ 26,889,507	$ 71,095,359	37.82%
Jun-16	2016	$ 27,804,862	$ 57,887,110	48.03%
Jul-16	2016	$ 26,417,291	$ 48,767,610	54.17%
Aug-16	2016	$ 24,852,655	$ 36,803,310	67.53%
Sep-16	2016	$ 23,066,558	$ 27,602,254	83.57%
Oct-16	2016	$ 21,525,006	$ 22,522,089	95.57%
Nov-16	2016	$ 20,890,862	$ 24,681,661	84.64%
Dec-16	2016	$ 19,915,063	$ 47,452,293	41.97%
Jan-17	2017	$ 19,236,406	$ 77,125,040	24.94%
Feb-17	2017	$ 20,363,030	$ 98,803,201	20.61%
Mar-17	2017	$ 21,737,580	$ 106,761,587	20.36%
Apr-17	2017	$ 24,436,158	$ 106,249,206	23.00%
May-17	2017	$ 29,950,689	$ 93,087,150	32.17%
Jun-17	2017	$ 31,130,420	$ 79,796,437	39.01%
Jul-17	2017	$ 28,430,939	$ 65,548,525	43.37%
Aug-17	2017	$ 25,290,988	$ 50,157,849	50.42%
Sep-17	2017	$ 21,631,404	$ 42,117,451	51.36%
Oct-17	2017	$ 19,444,491	$ 31,942,047	60.87%
Nov-17	2017	$ 19,171,922	$ 38,812,485	49.40%
Dec-17	2017	$ 18,285,846	$ 63,241,442	28.91%
Jan-18	2018	$ 18,277,375	$ 101,166,031	18.07%
Feb-18	2018	$ 19,278,137	$ 115,719,526	16.66%
Mar-18	2018	$ 21,607,672	$ 129,821,222	16.64%
Apr-18	2018	$ 25,311,236	$ 134,940,854	18.76%
May-18	2018	$ 32,657,571	$ 114,897,572	28.42%
Jun-18	2018	$ 37,750,771	$ 98,165,455	38.46%
Jul-18	2018	$ 35,843,277	$ 76,420,719	46.90%
Aug-18	2018	$ 29,025,095	$ 58,199,786	49.87%

Sep-18	2018	$ 23,089,404	$ 44,909,453	51.41%
Oct-18	2018	$ 20,439,819	$ 37,701,135	54.22%
Nov-18	2018	$ 19,826,058	$ 42,968,946	46.14%
Dec-18	2018	$ 19,240,124	$ 74,678,172	25.76%

KEDNY - Arrears Data - 84 Months

Month	Year	60+	Total	Ratio
Jan-12	2012	$ 57,200,509	$ 158,925,717	35.99%
Feb-12	2012	$ 58,366,296	$ 161,096,226	36.23%
Mar-12	2012	$ 59,740,972	$ 155,038,050	38.53%
Apr-12	2012	$ 63,060,933	$ 138,496,334	45.53%
May-12	2012	$ 61,212,498	$ 122,266,725	50.06%
Jun-12	2012	$ 57,986,030	$ 113,280,087	51.19%
Jul-12	2012	$ 56,688,502	$ 106,134,235	53.41%
Aug-12	2012	$ 53,934,561	$ 101,584,015	53.09%
Sep-12	2012	$ 52,286,240	$ 98,322,944	53.18%
Oct-12	2012	$ 51,259,411	$ 98,992,356	51.78%
Nov-12	2012	$ 52,319,892	$ 110,472,243	47.36%
Dec-12	2012	$ 54,204,502	$ 122,797,625	44.14%
Jan-13	2013	$ 54,729,181	$ 151,622,060	36.10%
Feb-13	2013	$ 54,245,485	$ 162,620,637	33.36%
Mar-13	2013	$ 55,951,165	$ 161,838,146	34.57%
Apr-13	2013	$ 60,132,867	$ 154,139,960	39.01%
May-13	2013	$ 61,151,732	$ 136,047,029	44.95%
Jun-13	2013	$ 62,526,067	$ 127,574,767	49.01%
Jul-13	2013	$ 61,509,634	$ 116,570,837	52.77%
Aug-13	2013	$ 58,262,114	$ 109,772,107	53.08%
Sep-13	2013	$ 55,599,392	$ 107,397,026	51.77%
Oct-13	2013	$ 52,732,539	$ 106,570,424	49.48%
Nov-13	2013	$ 51,000,699	$ 113,090,468	45.10%
Dec-13	2013	$ 50,725,825	$ 130,987,346	38.73%
Jan-14	2014	$ 48,923,614	$ 160,913,955	30.40%
Feb-14	2014	$ 50,731,118	$ 183,759,852	27.61%
Mar-14	2014	$ 55,927,136	$ 175,125,958	31.94%
Apr-14	2014	$ 60,830,510	$ 159,441,593	38.15%
May-14	2014	$ 63,623,932	$ 142,647,918	44.60%
Jun-14	2014	$ 64,262,009	$ 129,786,668	49.51%
Jul-14	2014	$ 61,168,911	$ 117,958,347	51.86%
Aug-14	2014	$ 58,279,271	$ 114,277,783	51.00%
Sep-14	2014	$ 55,715,389	$ 108,205,394	51.49%
Oct-14	2014	$ 70,707,583	$ 110,707,367	63.87%
Nov-14	2014	$ 54,060,316	$ 115,762,764	46.70%
Dec-14	2014	$ 54,280,884	$ 133,100,942	40.78%
Jan-15	2015	$ 53,677,554	$ 167,617,439	32.02%
Feb-15	2015	$ 55,726,926	$ 179,728,056	31.01%

Mar-15	2015	$ 60,922,878	$ 176,421,856	34.53%
Apr-15	2015	$ 65,016,695	$ 158,204,183	41.10%
May-15	2015	$ 67,657,243	$ 137,431,996	49.23%
Jun-15	2015	$ 68,137,879	$ 126,809,669	53.73%
Jul-15	2015	$ 64,891,020	$ 118,739,034	54.65%
Aug-15	2015	$ 63,029,889	$ 110,735,951	56.92%
Sep-15	2015	$ 61,080,016	$ 108,259,985	56.42%
Oct-15	2015	$ 58,238,318	$ 109,108,964	53.38%
Nov-15	2015	$ 70,423,961	$ 110,289,599	63.85%
Dec-15	2015	$ 68,591,856	$ 122,153,767	56.15%
Jan-16	2016	$ 55,197,934	$ 142,592,173	38.71%
Feb-16	2016	$ 56,449,092	$ 151,850,072	37.17%
Mar-16	2016	$ 58,261,579	$ 144,780,118	40.24%
Apr-16	2016	$ 59,285,036	$ 139,117,677	42.62%
May-16	2016	$ 60,363,076	$ 124,737,065	48.39%
Jun-16	2016	$ 59,578,702	$ 113,743,278	52.38%
Jul-16	2016	$ 57,696,272	$ 108,629,481	53.11%
Aug-16	2016	$ 54,921,956	$ 101,211,121	54.26%
Sep-16	2016	$ 51,349,369	$ 96,580,549	53.17%
Oct-16	2016	$ 50,574,435	$ 97,284,612	51.99%
Nov-16	2016	$ 49,239,557	$ 100,726,554	48.88%
Dec-16	2016	$ 47,639,539	$ 122,969,621	38.74%
Jan-17	2017	$ 65,576,761	$ 144,535,954	45.37%
Feb-17	2017	$ 49,242,191	$ 157,471,613	31.27%
Mar-17	2017	$ 51,574,177	$ 159,880,641	32.26%
Apr-17	2017	$ 53,559,043	$ 152,662,043	35.08%
May-17	2017	$ 63,226,868	$ 132,670,332	47.66%
Jun-17	2017	$ 63,396,375	$ 123,173,267	51.47%
Jul-17	2017	$ 62,521,450	$ 114,518,822	54.59%
Aug-17	2017	$ 58,859,724	$ 106,473,271	55.28%
Sep-17	2017	$ 55,552,663	$ 103,461,112	53.69%
Oct-17	2017	$ 54,149,529	$ 100,745,098	53.75%
Nov-17	2017	$ 52,510,238	$ 110,965,188	47.32%
Dec-17	2017	$ 50,275,623	$ 140,734,840	35.72%
Jan-18	2018	$ 50,283,409	$ 165,875,614	30.31%
Feb-18	2018	$ 53,449,380	$ 170,540,717	31.34%
Mar-18	2018	$ 57,225,548	$ 173,947,967	32.90%
Apr-18	2018	$ 62,945,530	$ 169,302,206	37.18%
May-18	2018	$ 66,809,380	$ 144,136,714	46.35%
Jun-18	2018	$ 69,221,028	$ 134,442,564	51.49%
Jul-18	2018	$ 67,912,536	$ 121,057,513	56.10%
Aug-18	2018	$ 63,303,693	$ 111,789,911	56.63%
Sep-18	2018	$ 59,761,941	$ 108,125,707	55.27%
Oct-18	2018	$ 57,936,566	$ 113,080,639	51.23%
Nov-18	2018	$ 55,575,682	$ 121,109,777	45.89%
Dec-18	2018	$ 55,288,073	$ 151,931,865	36.39%